

Outlook

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Application declines by channel and evidence

Morning,

I need help with something that sounds simple but probably is not.

Credit Risk needs to know whether recorded decline reasons are consistent with affordability, documentation and workflow evidence. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

The questions I would ask in the room are:

1. What would we expect to see if decline codes align with application facts?
2. What evidence would instead support that generic reasons are masking multiple causes?
3. How do we rule out that channel differences indicate process inconsistency?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use January 2021 as the new evidence point rather than recycling the earlier conclusion. Please work towards which policy rules, reason codes or quality checks need revision. A useful output would be a working Excel file with the exception population and clear columns.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories. One caution: The separate rejected-account file and loan decisions represent different processes; do not merge them without a defined key and business rule.

Regards